

**ANNEX 1 - JUSTIFICATION AND APPROVAL
CONTROLLED UNCLASSIFIED INFORMATION (CUI)**



**DEPARTMENT OF THE NAVY
NAVAL SURFACE WARFARE CENTER
PANAMA CITY DIVISION
110 VERNON AVENUE
PANAMA CITY, FL 32407-7001**

IN REPLY REFER TO:

J&A Number: [REDACTED]
Code: E42

**JUSTIFICATION AND APPROVAL
TO PROCURE USING OTHER THAN FULL AND OPEN COMPETITION**

1. Contracting Activity

Naval Surface Warfare Center, Panama City Division (NSWC PCD).

2. Description of the Action Being Approved

Extend the term of contract number N61331-20-C-0018 by 18 months beginning on 01 October 2025 through 30 March 2027. The incumbent for this effort is Yulista Support Services (YSS), 8600 Advanced Gateway S, Huntsville, AL, 35808-13 (CAGE Code: 7TVG3), for continuance of support operations, maintenance, including shipyard and dry-dock planning, including incidental engineering, programmatic and administrative support required to operate and maintain the SEA FIGHTER (FSF-1) in support of Advanced Technology Demonstrations (ATDs) and Research Development, Test, and Evaluation (RDT&E) efforts.

3. Description of Supplies/Services.

This proposed contract extension is to allow for the continuance of contractor support for operations, maintenance, including shipyard and dry-dock planning, including incidental engineering, programmatic and administrative support required to operate and maintain the FSF-1 in support of ATDs and RDT&E efforts.

	Appropriation	FY25	FY26	Total
Total	RDT&E	[REDACTED]	[REDACTED]	[REDACTED]

The estimated total value for this proposed contract extension is [REDACTED]. The aggregated value of the total contract with this extension is [REDACTED]. The Government's minimum needs have been verified by the certifying technical and requirements personnel. The procurement will be funded with Research, Development, Test and Evaluation (RDTE) funds during the base and option years.

4. Statutory Authority Permitting Other Than Full and Open Competition

10 U.S.C. 3204(a)(1) – Only one responsible source and no other supplies or services will satisfy agency requirements, FAR 6.302-1.

5. Rationale Justifying Use of Cited Statutory Authority

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The Commanding Officer for the Office of Naval Research Special Projects (PMR-51) issued a letter on 3 July 2024 requesting NSWC PCD to strike the vessel. This action requires an unscheduled dry docking, demilitarization of various components/systems and the removal of Hazardous Material (HM)/Hazardous Waste (HW) that could take up to a year or longer necessitating an 18-month extension of the Contract Number N61331-20-C-0018. These unplanned requirements are within the scope of the contract. It is expected that the current support provided by the contractor will allow for the stated continuous support including crew labor forces that off-base to ensure all ship [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Based on [REDACTED], NSWC PCD, Ranges and Facilities Branch, Code E42, will need YSS's continuous engineering, maritime, installation, test, inspection, checkout, maintenance, and repair of propulsion, navigation, communication, and auxiliary equipment for the High-Speed Naval Craft FSF-1 Class ship, after the current contract expiration date of 30 September 2025. YSS will continue to operate the ship pier-side, including after-hours security and roving watches, at-anchor, and at-sea under its own power; [REDACTED]

[REDACTED]

[REDACTED], life boat and other craft in and out of the water to support operations and maintenance; install, checkout, test, maintain and un-install equipment and components for ship operations; prepare, document, and conduct shipboard operations and safety training for engineering, planning, installation, and test and evaluation (T&E) personnel.

Contract number N61331-20-C-0018, was awarded to YSS on a competitive 8(a) set-aside basis after receipt of two proposals. The award date was 18 September 2020, and if all options were exercised, the expected Option Year Four period of performance was scheduled to end on 30 September 2025. The proposed extension will extend the period of performance from 30 September 2025 to 30 March 2027. The 18-month extension will allow Code E42 to comply with the in-scope work of the tasks involved to demilitarize while manning the vessel at its current.

Not extending the period of performance by 18 months will cause unacceptable delays and duplicative costs in fulfilling PMR-51 requirement to strike the vessel. Primarily soliciting and advertising a contract of this nature for 18 months would not be advantageous to the Government or potential contractors since the requirement would only be for the demilitarization of the vessel as discussed above. YSS is the only company currently mobilized and familiar with the FSF-1 having gained intimate knowledge of the vessel over the last four years while operating and maintaining the vessel. The Government would experience unacceptable delays of an additional 15-18 months for another company to award a contract and have the company prepare for the demilitarization of FSF-1. Additionally, the Government would experience at least \$900,000 - \$1,800,000 in duplicative costs for another company to transition and become familiar with the FSF-1 to prepare it for demilitarization. Moreover, competing this requirement for an expected contract duration of 18 months or doing an 8(a) sole source to the incumbent is not expected to generate substantial savings to the Government, as this requirement will remain under the 8(a) program. The estimated value of having the schedule shifted too far ahead of the PMR-51

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request, alongside having a potential new 8(a) company learning the scope of work and demilitarization tasks associated with this 18 month extension, is expected to surpass any estimates to cover the extension with the possibility of the incumbent being an interested party and ultimately having the potential to receive award under competition or a one-bid scenario. Introducing another source at this stage, for this limited period will cause having to redo many aspects such as inventory, government furnished property, clearances, certifications, licensing, and insurance to all be required for a new contract. As such, YSS is only responsible source capable of meeting the Government's minimal needs for an 18-month extension for demilitarization.

6. Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable

[REDACTED]

7. Determination of Fair and Reasonable Costs

The Contracting Officer has determined that the anticipated prices to the Government for the supplies/services covered by the J&A will be fair and reasonable.

8. Actions to Remove Barriers to Competition.

For the reasons set forth in Paragraph 5, NSWC PCD has no plans to compete future contracts for the types of supplies and services covered by this document. If another potential source emerges, NSWC PCD will assess whether competition for future requirements is feasible.

Signatures Follow This Page

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I certify that the facts and representations under my cognizance, which are included in this justification and its supporting data, except as noted herein, are complete and accurate to the best of my knowledge and belief.

TECHNICAL COGNIZANCE:

Date

REQUIREMENTS COGNIZANCE:

Date

DEPARTMENT HEAD:

Date

LEGAL SUFFICIENCY REVIEW

This justification is determined to be legally sufficient.

Date

CONTRACTING OFFICER CERTIFICATION

I certify that this justification is accurate and complete to the best of my knowledge and belief.

Date

APPROVAL BLOCK (FAR 6.304 for Approving Official)

Upon the basis of the above justification, I hereby approve, as Competition Advocate of the Procuring Activity, the solicitation of the proposed procurement using other than full and open competition, pursuant to the authority of 10 U.S.C. 3204 (a)(1).

Mary L. Langfeldt, Chief of Contracting Office Code 02, _____